Methology Double Materiality Assessment Review

Sustainability and Innovation Deparment
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1. Context analysis

AQUALIA 2025: Double Materiality Assessment Review

In June 2025, Aqualia decided to conduct a review of its 2024 Double Materiality Assessment in order to reformulate its material topics and IROs in line with the CSRD and to integrate the results of its internal climate risk analyses and its TFND Report.

Objective: Identification and assessment of Aqualia's IROs that will determine its material topics.

"The double materiality assessment allows us to identify Aqualia's material impacts, risks and opportunities (IROs), which will give rise to material topics resulting from the sum of these elements and not only from their intersection."

The assessment of IROs is carried out from two perspectives, in accordance with the criteria set out in the CSRD:

- **Impact materiality:** impact assessments cover positive and negative "inside-out" impacts, i.e. Aqualia's impacts on its stakeholders. This analysis is therefore conducted from the perspective of the stakeholders identified as relevant for Aqualia.

- **Financial materiality:** risk and opportunity assessments are performed from an "outside-in" perspective, reflecting the potential impact of these impacts or dependencies on Aqualia's financial performance.

1. Context analysis

AQUALIA 2025: Double Materiality Assessment Review

We have developed three types of analysis to frame the 2025 review:

- **Analysis of information from secondary sources:** recent sector reports, the national and European regulatory framework, and ESG standards and ratings.

- **Benchmarking of 5 competitors:** taking as reference the material topics listed in paragraph AR 16 of ESRS 1 under the European CSRD framework, we analysed the material topics of Aqualia's competitors and identified topics specific to the sector and/or the company, which we have marked in the topics with the label (AQ).

- **Analysis of internal sources:** building on the 2024 material topics and IROs, we have reassessed and further developed them based on various internal sources (Aqualia's Risk Map, climate risks and its TFND Report).

2. Assessment of Impact Materiality

The impacts on the different stakeholder groups may be positive or negative, and current or potential. They are assessed as follows:

- **Potential impacts:** assessed in terms of their scale, scope and remediability, and also rated on the basis of their probability.

- **Current impacts:** those that are already occurring at present. In this case, they are assessed only in terms of their scale, scope and remendability (i.e. probability is assigned the maximum value).

This process consists of:

- Conducting an assessment of scale, scope, remediability and probability through consultation with internal and/or external stakeholders. **In our 2025 exercise to review and redefine IROs, this component has been developed internally within the Sustainability Department.**
- For each impact, performing a qualitative assessment of the above factors based on the knowledge and experience of the participants regarding Aqualia's operations.
- Determining the degree of severity as an average of the assessments of scale, scope and remediability.

Factor		What is assessed?	Possible impacts
Severity	**Scale**	How serious the impact is (how deep it is)	Current and potential; positive and negative
	Scope	Current and potential; positive and negative	Current and potential; positive and negative
	Remediability	The extent to which the impact can be remedied	Current and potential; negative
Probability		Probability of occurrence	Potential only; positive and negative

2. Assessment of Impact Materiality

For each impact, a consolidated rating is calculated:

- For **current impacts**, the consolidated rating is equivalent to the severity, calculated as the average of (Scale + Scope + Remediability) / 3, multiplied by 4, the maximum probability value, given that it is an impact already taking place.

- In the case of **potential impacts**, the consolidated value is calculated by averaging the four assessment criteria: scale, scope, remediability and probability:

$$((Scale + Scope + Remediability)/3) \times Probability$$

Probability of Impacts, Risks and Opportunities (IROs)	
Probability: How likely is it that this impact will occur? (taking into account: occurrence in the past / frequent exposure to this situation / existence of sector and/or industry trends)	
Probability of impact (p):	
Unlikely (1)	The impact is not currently occurring and there is a low probability that it will occur in the future (less than 10% in the next 5 years).
Possible (2)	The impact is not currently occurring and there is a probability that it will occur in the future (10%–30% in the next 5 years).
Likely (3)	The impact is not currently occurring and there is a probability that it will occur in the future (30%–70% in the next 5 years).
Almost certain (4)	The impact is not currently occurring and there is a probability that it will occur in the future (>70% in the next 3 years).

Time horizon
Duration: We will assess the time horizon in terms of duration. For example, if the IRO is triggered in the short term but we expect its effect to extend into the medium term, we will classify it as “Short–Medium”.
Short term: up to 3 years
Medium term: > 3 years and < 10 years
Long term: > 10 years

3. Assessment of Financial Materiality

Risks and opportunities are assessed on the basis of their probability of occurrence and the potential magnitude of their financial effects in the short, medium and long term.

Factor	What is assessed?
Magnitude	Magnitude of the financial effect of the risk/opportunity
Probability	Probability of occurrence

To calculate the severity of risks and opportunities, the magnitude must be assessed for each of the assets affected, according to the magnitude tables presented below, and the average taken. This average magnitude is then multiplied by the probability:

Average Magnitude × Probability

For the assessment of risks and opportunities, the following will be taken into account:

1. Validation by the Sustainability Department.

2. Validation by the Strategic Development and Sustainability Department and the Management System team.

3. Assessment by the Executive Committee.